Our answer: fix digital so it pays for itself, and Ironbridge passes all four turnaround tests by June 2027

THE PROBLEM

- EBITDA fell from **122 to 25** between 2022 and 2025. Ironbridge now earns less than its interest bill (cover of **0.6x**), owes **30 times** its EBITDA, and has 30 in cash against 180 of debt due this year.
- About **70** of the 97 lost came from the core business: car makers pushing prices down, higher input and energy costs, and rising overheads. About **27** was self-inflicted: the digital programme costs 48 a year and saves only 13.
- The tools are not the problem. People are not using them: only 60% of maintenance alerts are acted on in time, planners accept just 35% of the AI's schedules, and 3 plants are not on the shared ERP.

WHAT WE RECOMMEND: FIX, FOCUS, FUND

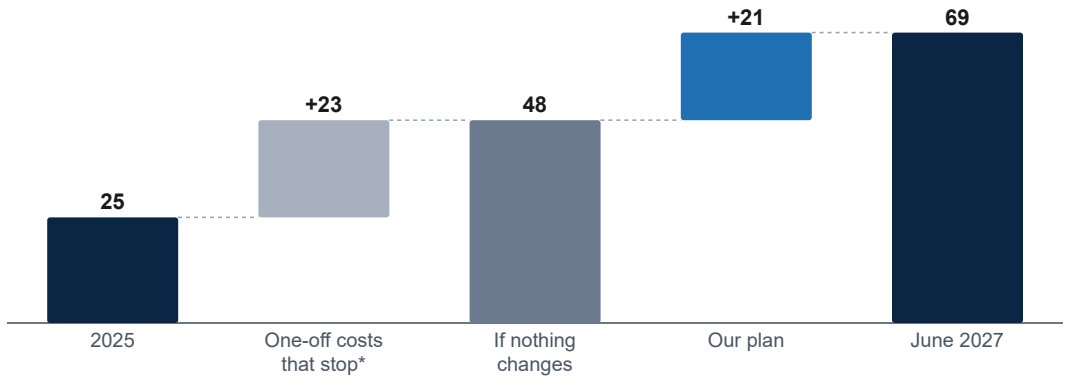
- **Fix:** switch off the AI agent in the planning tool, clean up master data, and move every plant onto one ERP. A small Digital Value Office under the CEO releases money only when checkpoints are met.
- **Focus:** make the two working pilots pay before growing them, and aim digital at the biggest costs: energy, purchasing, passing cost increases on to customers, and back-office work.
- **Fund:** hold back expansion spending (no plant runs above 81% of capacity), free up 38 of cash tied up in stock and unpaid invoices, and cover the gap with asset sales, a sale-and-leaseback and receivables finance.

By June 2027, annual EBITDA reaches **69**, against 48 if nothing changes (**+21** from our plan). The 18-month cash burn is **cut in half** (−74 against −142), and Auto's margin is back to **5.0%** from 0.9%.

TURNAROUND SCORECARD, JUNE 2027

TEST	TARGET	IF NOTHING CHANGES	OUR PLAN	
1 Cash New money needed on top of rolling over the 180	None	57 ✗	**None** **11 spare**	✓ Met
2 Interest EBITDA ÷ interest, even if only half the benefits arrive	At least 1.0x	0.8x ✗	**1.1x**	✓ Met
3 Auto pays its way Auto EBITDA against the upkeep its plants need	At least 20.5	20.3 ✗	**28.7**	✓ Met
4 Digital pays for itself What digital adds to EBITDA after its costs	Above 0	−12 ✗	**+9**	✓ Met

HOW ANNUAL EBITDA GETS TO 69



* 2025 set-up costs that will not repeat (Exhibit 6). They drop out either way, so we do not count them as ours.

All figures USD million. Sources: case exhibits 1 to 8 and our model. The base case assumes 75% of planned benefits arrive. "If nothing changes" means the current digital plan carries on and all capex requests are approved.

Diagnosis: the core business was already slipping, and a digital programme that costs 48 a year but saves 13 turned a profit problem into a debt crisis

30x
Debt is 30 times EBITDA (2025)

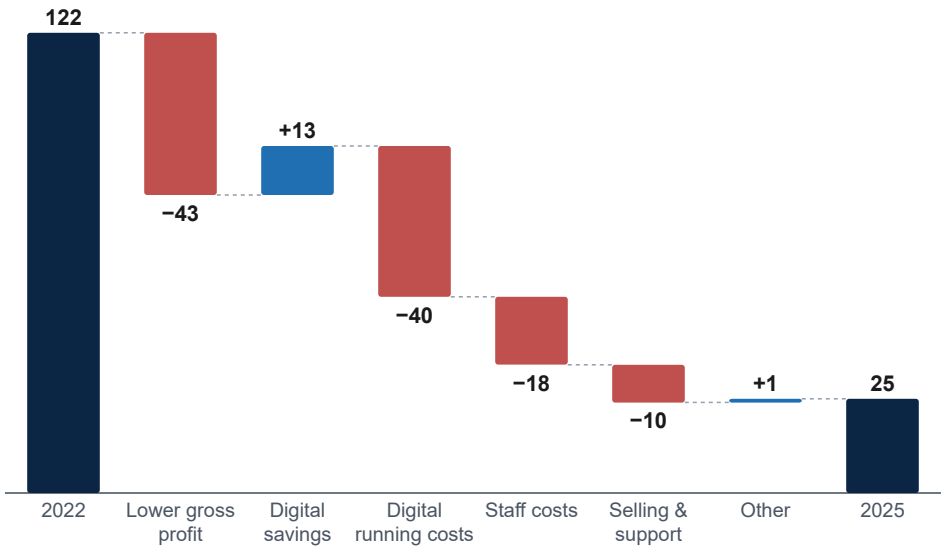
0.6x
EBITDA covers only 63% of the interest bill

−141
Free cash flow in 2025, all funded with debt

30 vs 180
Cash against debt due within a year

87 → 100
Days of stock, 2022 to 2025

HOW EBITDA FELL FROM 122 TO 25, USD M



Auto lost **63** of the 97 (65%). Without the digital costs it carries, its margin would still be only 4.6%. So digital explains part of Auto's fall, and car-maker pricing and lower volumes explain the rest.

WHO IS RIGHT? WE CHECKED EACH EXECUTIVE'S VIEW AGAINST THE NUMBERS

EXECUTIVE	THEIR VIEW	OUR VERDICT	WHAT THE NUMBERS SHOW
COO	Input and energy costs	**Partly right**	Gross profit fell 43 even with 13 of digital savings. Energy costs 120 a year, and 23% of SMC's revenue.
Auto sales head	Car makers' pricing and demand	**Right**	Auto EBITDA fell from 68 to 5. Revenue is down 10% from its 2023 peak.
Plant managers	Tools used unevenly	**Right, and this is the root cause**	Only 60% of alerts closed in time. 45% of vision rejects re-checked by hand. 35% of AI schedules accepted.
Finance	Programme cost	**Right**	Digital running costs rose from 8 to 48 against 13 of savings: a net loss of 35 on EBITDA of 25.

THE THREE PILOTS: FIX TWO, STOP ONE

PILOT	SHARE OF TARGET REACHED	SAVINGS MINUS RUNNING COST	WHAT HELD IT BACK	OUR CALL
Predictive maintenance 150 machines	60% downtime 12% → 9%	**+2**	Alerts not linked to work orders; too few technicians	**Fix, then grow**
Vision inspection 8 lines	48% scrap 6.0% → 4.8%	**+3**	Needs recalibrating whenever a part spec changes	**Fix, then grow where customers need it**
AI-agent supply-chain planning 3 plants	Went backwards stock 90 → 94 days	**−5**	Messy master data; plants on separate systems	**Switch off the AI agent and fix the data first**

USD million unless stated. Sources: case exhibits 1 to 8 and our analysis. Digital savings are 2025 savings that already sit inside cost of sales (Exhibit 5).

Strategy: stop what does not pay, fix what works, and aim digital at the biggest costs, with a separate plan for each business

SEVEN WORKSTREAMS, RANKED BY VALUE AND SPEED



Five of the seven start in month 1, and six within three months. The quickest savings need little spending: passing on costs and smarter purchasing need none, and energy meters cost only 3. Growth steps get money only after a checkpoint is passed.

WHAT WE STOP, FIX, GROW AND START

	WHAT	WHY
Stop	The AI agent in the planning tool. Expansion spending, cut from 25 to 10 a year. Vision on SMC's batch lines.	The AI agent loses 5 a year and stock went up. No plant runs above 81% of capacity.
Fix	Master data and ERP for 3 plants. Linking maintenance alerts to work orders. Recalibrating vision.	Both working pilots stalled at about half their target because of data and adoption, not the technology.
Grow, after a checkpoint	150 more connected machines, mostly in IEM. Traceability on 3 Auto lines for one car maker.	Money released only after the month-6 and month-9 checkpoints.
Start	Energy management. Smarter purchasing. Cost pass-through clauses and a quoting tool. Automating back-office and customer-support work. A service pilot for IEM customers.	These go after energy, bought-in materials and overheads, where the core business lost ground.

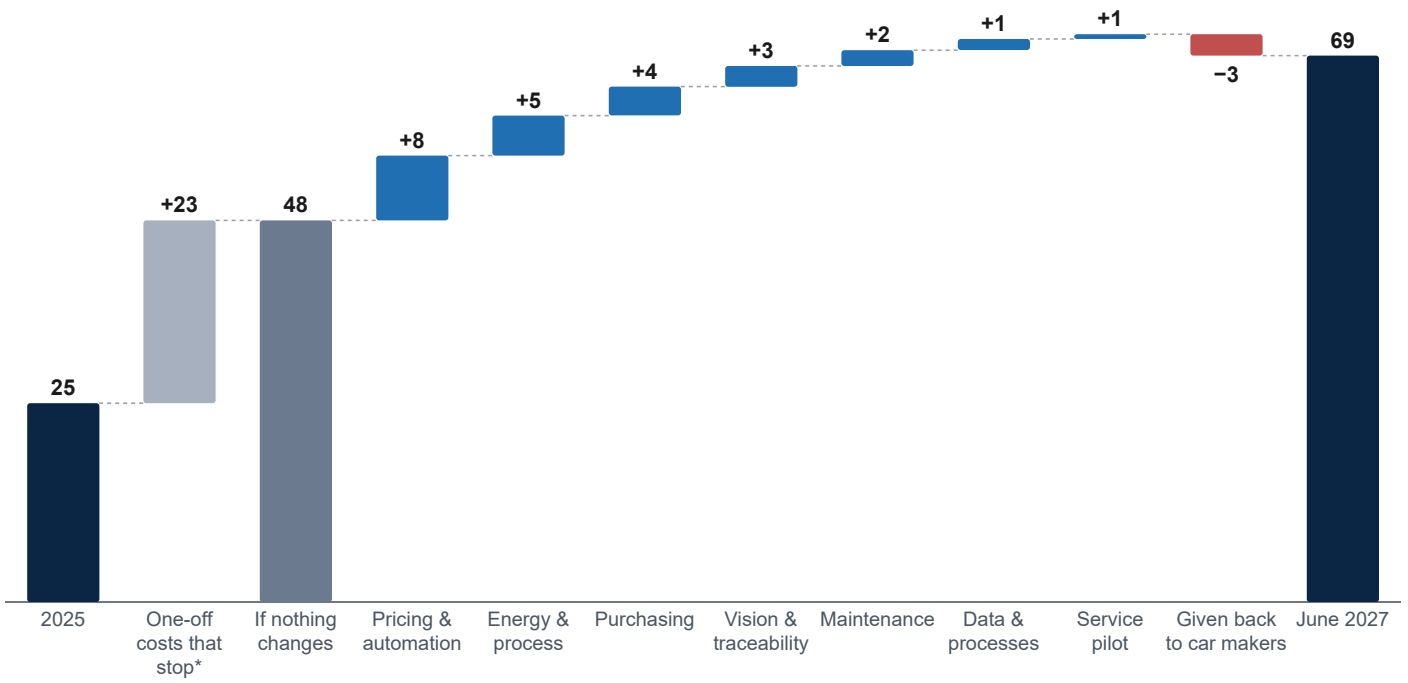
SHARED BASICS FOR THE GROUP, A SEPARATE PLAN FOR EACH BUSINESS

BUSINESS	PLAN	EBITDA MARGIN, 2025 → JUNE 2027
Whole Group	Data and ERP, the Digital Value Office, energy, purchasing and back-office automation	2.1% → 5.7%
Auto	Add cost-index clauses when car-maker contracts renew. Offer part-level traceability and carbon data per part, which European car makers ask for.	0.9% → **5.0%**
IEM	Predictive maintenance adds output (plants at 81% of capacity). A service pilot starts a steady new revenue line.	8.1% → **10.8%**
SMC	Batch process control and 1% higher prices. **Month-6 checkpoint: fix or exit.** It needs 3.6% higher prices to break even.	−6.0% → **−1.9%**

USD million unless stated. Annual EBITDA gain at June 2027 after running costs, assuming 75% of benefits arrive. Bubble size shows 18-month spend (set-up costs plus capex). Sources: our model; benchmarks in Appendix 2.

Impact: our plan adds 21 to annual EBITDA and halves the cash burn. It needs no new money and still covers interest if only half the benefits arrive

HOW ANNUAL EBITDA REACHES 69 BY JUNE 2027, USD M



Costs come first: +1.3 in 2026 and +3.5 in the first half of 2027, then +21 a year from June 2027. Checkpoints limit the risk.

What we do not count: the 23 of 2025 one-off costs that stop anyway (*Exhibit 6), and the 13 of 2025 savings already in the numbers.

WHERE THE CASH COMES FROM OVER 18 MONTHS, USD M

	IF NOTHING CHANGES	OUR PLAN
Cash shortfall from running the business	142	74
Short-term debt due	180	180
Total needed	**322**	**254**
Roll over the short-term debt (at a 3% higher rate)	180	180
Sell non-core licences	20	20
Sale-and-leaseback of property	40	40
Receivables finance	25	25
New money still needed	**57**	**None (11 spare)**

WHAT IF LESS IS DELIVERED?

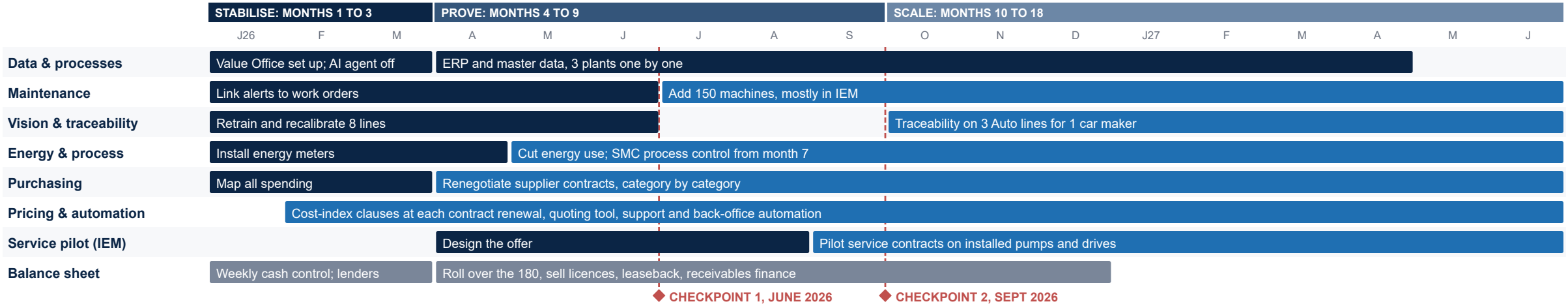
	HALF ARRIVES	BASE CASE	ALL ARRIVES
Share of benefits	50%	75%	100%
Annual EBITDA, June 2027	60	**69**	77
EBITDA ÷ interest	1.1x	**1.3x**	1.4x

Lenders look at the last 12 months: EBITDA of 49 and interest cover of 1.0x (0.9x if nothing changes). Net debt ends at 829, against 897 if nothing changes and 755 today. Debt only stops growing once EBITDA reaches about 119, so repairing the balance sheet carries on after 2027.

USD million unless stated. Base case: 75% of planned benefits arrive, savings given back to car makers are taken out, and the 180 and any new borrowing pay an interest rate 3% higher. Source: our model (Appendix 1).

Roadmap: three phases over 18 months with two checkpoints. Business heads own the results, and money stops wherever a checkpoint is missed

18-MONTH PLAN, JANUARY 2026 TO JUNE 2027



Checkpoint 1 (month 6): at least 85% of maintenance alerts closed on time, no more than 25% of vision rejects re-checked by hand, energy savings measured, and SMC prices on track for +3.6% (if not, start the exit). **Checkpoint 2 (month 9):** a named car maker needs traceability, the second batch of machines is released, and interest cover over the last 12 months is heading to 1.0x.

WHO RUNS IT

- A **Chief Digital Officer** and a small **Digital Value Office** (about 5 people) report to the CEO. They track savings and release money only at checkpoints.
- **Each business head signs up to their savings target.** Every workstream is led by someone from the business, not from IT.
- The **central digital team of 24** moves into the workstreams. Each plant gets a digital champion, and we add technicians to act on maintenance alerts.
- **Week 1:** hire the CDO, freeze expansion spending, start weekly cash control, and give notice on the AI agent.
- **18-month budget:** 10 of set-up costs and 29 of digital capex (30 was requested), released in stages.

MAIN RISKS, WARNING SIGNS AND OUR RESPONSE

RISK	WARNING SIGN OR IMPACT	RESPONSE
Lenders will not roll over the 180	Last-12-month interest cover below 1.0x in early 2027	Talk to lenders from month 1; line up the leaseback and receivables finance early
People still do not use the tools	A checkpoint target is missed	Stop the money, change the owner, reset the savings target
Car makers cut prices or volumes	1% lower prices cost 5.7 of EBITDA; 5% lower volume costs 7.1	Cost-index clauses; traceability to keep customers
Energy prices rise 10%	Costs 12.0 of EBITDA	Energy meters, cheaper-hour scheduling, energy index in contracts
Borrowing costs even more	A 2% higher rate takes cover to 1.2x	Offer security to lenders; start talks early
SMC misses its checkpoint	Prices up less than 3.6%	Exit adds only 1.7 of EBITDA; the gain is cash and focus

USD million unless stated. Month 1 = January 2026. Risk sizes come from our model. Source: our analysis.

Appendix 1: financial workings. Our projections and the savings from each initiative tie back to exhibits 1 to 8, and all 17 model checks pass

PROJECTION: IF NOTHING CHANGES VS OUR PLAN

	2025	NO CHANGE 2026	NO CHANGE H1 2027	PLAN 2026	PLAN H1 2027	NO CHANGE ANNUAL*	PLAN ANNUAL*
EBITDA	25	42	24	43	27	48	69
Interest	−40	−45	−28	−45	−26	−60	−54
Working capital	−11	0	0	16	22		
Capex	−115	−90	−45	−71	−40		
Free cash flow	**−141**	**−93**	**−49**	**−57**	**−17**		
Net debt at end	755	848	897	812	829	897	829
EBITDA ÷ interest	0.6x	0.9x	0.9x	1.0x	1.0x	0.8x	1.3x

* Annual rate at June 2027.

SPENDING AND CASH RELEASED OVER 18 MONTHS

	NO CHANGE	PLAN	WHY
Maintenance capex	68	68	Kept at 45 a year. It is already below depreciation of 50.
Expansion capex	38	15	Plants run at 67% to 81% of capacity, so none needs more.
Digital capex	30	29	Requests of 8, 12 and 10 become 8, 4 and 10 (moved to ERP), plus 7 for new work.
Cash released from stock and invoices	0	38	Stock from 100 to 90 days after the data fix; customers pay in 49 days instead of 53.

TERMS WE USE

If nothing changes: the current digital plan carries on and all capex requests are approved. **Annual rate:** the yearly level of EBITDA at June 2027. **Last 12 months:** the period lenders look at. **Base case:** 75% of planned benefits arrive. **Savings given back:** savings that flow to car makers through cost-index clauses and yearly price cuts. **OEM:** vehicle maker, Auto's customer. **IEM:** Industrial Equipment & Machinery. **SMC:** Specialty Materials & Coatings.

SAVINGS BY INITIATIVE (BASE CASE, 75% OF BENEFITS)

INITIATIVE (PER YEAR UNLESS STATED)	SAVINGS	RUNNING COST	NET	2026	H1 2027	SET-UP	CAPEX
Master data and ERP (3 plants)	0.0	0.5	**−0.5**	−2.0	−1.4	3.0	10.0
Digital Value Office and CDO	0.0	1.0	**−1.0**	−1.3	−0.7	0.5	0.0
Switch off the AI agent	2.9	0.0	**2.9**	4.7	1.4	−2.5	0.0
Maintenance: alerts to work orders	1.9	0.5	**1.4**	0.6	0.7	0.0	0.0
Maintenance: 150 more machines*	2.6	2.0	**0.6**	−1.5	−0.8	2.0	8.0
Vision: retrain 8 lines	2.6	0.0	**2.6**	0.8	1.3	0.5	0.0
Vision: traceability on 3 lines*	1.0	1.0	**0.0**	−0.3	−0.8	0.8	4.0
Energy management	4.8	0.8	**4.0**	0.8	1.4	1.0	3.0
SMC process control*	1.4	0.4	**1.0**	−0.4	−0.2	0.8	2.0
Smarter purchasing	4.1	0.5	**3.6**	0.9	1.4	1.0	0.0
Cost pass-through and quoting	5.3	0.7	**4.6**	0.8	1.7	1.0	0.0
Back-office automation	4.6	1.0	**3.6**	−0.2	0.8	1.0	0.0
Service pilot for IEM	0.6	0.0	**0.6**	−0.5	−0.2	1.0	2.0
Less: purchasing savings to car makers	−1.0	0.0	**−1.0**	−0.5	−0.4	0.0	0.0
Less: yearly price cuts to car makers	−1.7	0.0	**−1.7**	−0.6	−0.7	0.0	0.0
Total	**29.1**	**8.4**	**20.7**	**1.3**	**3.5**	**10.1**	**29.0**

* Only after a checkpoint is passed. Switching off the AI agent removes a contract cost, so we count it in full. Its negative set-up cost is the planning-tool work we no longer need (3.0) minus 0.5 to switch off. The 2.0 of 2026 contract commitments is still paid.

USD million. Interest is the 2025 rate (5.4%) on debt at the start of each period, plus 3% on top for the rolled-over 180 and for new borrowing. No cash tax, because pre-tax profit stays negative in every period.

Appendix 2: assumptions and sources. We set every benchmark-based saving well below the published range, then assume only 75% of it arrives

OUR ASSUMPTIONS VS OUTSIDE BENCHMARKS

LEVER	OUR ASSUMPTION	BENCHMARK	SOURCE
Predictive maintenance	Downtime from 9% to 7.5% on today's machines; 150 more machines at 70% of the pilot's savings	Downtime falls 30% to 50%	B1
Vision inspection	Scrap from 4.8% to 4.2% on the same lines; new lines at half the pilot's savings	Pilot results only (Exhibit 7)	Case
Energy	6% lower energy use in Auto and SMC, 3% in IEM, over 18 months	ISO 50001 plants save about 4.1% in year 1; process control up to 10%	B3, B2
SMC process control	2% better yield on materials (energy not included, so no double count)	Up to 5% better yield	B2
Purchasing	1.25% saved on about 441 of spend	6% to 12% savings seen in chemicals	B4
Cost pass-through and quoting	Prices up 0.5% in Auto and IEM, 1.0% in SMC	Pricing programmes add 2 to 7 points of margin	B5
Back-office automation	4% of 153 of staff, selling and support costs, as people leave and are not replaced	GenAI cuts customer-care costs by 30% to 45%	B8
IEM service	Service revenue of 1% of IEM sales at a 20% margin	Aftermarket services earn 25% against 10% for new equipment	B6
Stock	From 100 to 90 days, only after the data fix	30% cut in a supply-chain case	B7
Savings given back	Half of Auto's purchasing savings and a quarter of its productivity savings go to car makers	Cost-index clauses and yearly price cuts	Our view
Funding	Sell licences for 20 (19 and 31 were sold in 2024 and 2025), leaseback 40 (about 6% of property), receivables finance 25 (about 15% of receivables)	Exhibits 2 and 4	Case
Auto upkeep test	Auto's share of maintenance capex: 45 × 5 of 11 plants = 20.5	Exhibits 4 and 8	Case
Finance	Interest at 5.4% (the 2025 rate) plus 3% on top for new and rolled-over debt; cash kept at 30; revenue and core margin held flat	Exhibits 1 and 2	Case

HOW WE STAY CONSISTENT WITH THE CASE

- The 23 of one-off costs that stop is Exhibit 6's set-up spend (7 + 8 + 8). Only 6 of remaining work carries into 2026, and it is in both cases.
- The 13 of 2025 savings is already in cost of sales, so we never count it again (Exhibit 5).
- The 38 of cash from stock and invoices is one-off, and kept apart from yearly EBITDA (Exhibit 7).
- The vision pilot's 7 of savings from a 1.2-point scrap cut would mean 583 of production on 8 lines, 63% of the Group's cost of sales. That cannot be right, so we do not scale it up that way.
- Maintenance capex and the 12 of central digital cost stay flat, because the case asks for a reason to cut them.

SOURCES

[B1] McKinsey, "Manufacturing: Analytics unleashes productivity and profitability", Aug 2017.
[B2] McKinsey, "The potential of advanced process controls in energy and materials", Nov 2020.
[B3] Fitzgerald et al. (LBNL), "Deeper and persistent energy savings and carbon dioxide reductions achieved through ISO 50001 in the manufacturing sector", 2023.
[B4] McKinsey, "Technology-enabled procurement for chemical companies", Oct 2019.
[B5] McKinsey, "Turning pricing power into profit", Mar 2015.
[B6] McKinsey, "Industrial aftermarket services: Growing the core", Jul 2017.
[B7] McKinsey, "Supply Chain 4.0: Opportunities to use your supply chain for differentiation", May 2019.
[B8] McKinsey, "The economic potential of generative AI: The next productivity frontier", Jun 2023.

USD million unless stated. All sources checked on 30 September 2026. Case data comes first; benchmarks only fill gaps the case leaves.